

THE MISSING ‘G’

CORPORATE INDIA SPEAKS THE LANGUAGE OF ESG. SO, WHY HAS ENVIRONMENTAL RESTORATION

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E **VERY INDIAN BOARDROOM** today speaks the language of sustainability. Companies announce net-zero ambitions. Investors demand ESG disclosures. Annual reports carry pages of climate commitments, biodiversity goals, and renewable energy transitions. Environmental responsibility has become central to how corporate India presents itself to shareholders, regulators, and investors.

But follow the money flowing through India's decade-old CSR regime, and a very different picture emerges.

114 | In FY25, Indian companies spent nearly ₹35,000 crore on Corporate Social Responsibility (CSR). Of this, just ₹2,430 crore—less than 7%—went towards environmental sustainability and ecological balance. Over the last ten years, environment has accounted for only 6.6% of cumulative CSR spending.

Education and healthcare dominated throughout, together absorbing more than half of all CSR in most years. In FY25, education alone took 35% of the total, nearly five times the environmental share. Rural development and livelihood enhancement each got roughly 7%.

This even though environmental sustainability was built directly into the original architecture of the CSR law. When mandatory CSR was introduced in 2014, the idea was not merely philanthropy. It carried an implicit logic of restitution: companies extracting profits from land, water, minerals, forests, and industrial activity were expected to reinvest a part of those profits into repairing social and ecological damage linked to growth.

That restitution never fully happened.

Instead, a paradox emerged. Corporate India became increasingly serious about environmental responsibility inside the business through ESG disclosures but environmental restoration outside the business, through CSR spending, remained peripheral.

The result is a sustainability model where the environment aspect of ESG has become financially strategic but remains surprisingly weak in CSR.

